Kalshi Strategy and Roadmap

What it takes to reach $1,000, $5,000, $10,000 and $25,000 in profit

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Fees, rules and legal status were checked on October 10, 2026 and change often. Confirm them in the app before funding. This is general information, not financial, legal or tax advice.

1. How Kalshi works

Every Kalshi market is a yes or no question about a real event, such as whether the Fed will cut rates in December. You buy Yes or No contracts priced from 1 to 99 cents. A correct contract pays $1 and a wrong one pays nothing, so the price is roughly the market's estimate of the probability. Buy Yes at 60 cents and you make 40 cents if it happens and lose 60 cents if it does not.

You trade against other users, not against Kalshi. The exchange matches buyers with sellers and charges a fee. You can sell a position at the current price any time before the market settles, and winnings are paid into your balance automatically at settlement.

Getting started: create an account and verify your identity, link a bank account, deposit, pick a market, read its rules, then place an order. A market order fills right away at the best price on offer. A limit order names your own price and waits for someone to take it.

What you can trade:

Category	Examples
Sports	Game winners, championships, player and season totals. About 87% of all Kalshi volume.
Economics	Fed rate decisions, inflation, jobs reports, jobless claims, recession calls.
Politics	Elections, legislation, appointments, government actions.
Weather	Daily high temperatures and rainfall by city, hurricanes.
Tech and AI	Product launches, model releases, company milestones.
Culture	Awards, box office, music charts, TV.
Financial and crypto	Index and crypto price levels, earnings-call mentions, and leveraged crypto futures (added in 2026).

Can you make your own bets? In three ways, with limits:

- **Set your own price.** A limit order is you posting your own odds on an existing market. This is the main tool in this guide.
- **Build a combo.** You can bundle several outcomes into one contract that pays only if all of them hit. The price comes from market makers, you cannot use a limit order, and cashing out early usually costs you. Section 6 says to skip these.
- **Suggest a new market.** You cannot list a market yourself, but you can submit one at kalshi.com/ideas/feed. Kalshi reviews each suggestion for regulatory compliance and resistance to manipulation, and listing is not guaranteed.

2. The short version

Kalshi is a zero-sum exchange minus fees. Every dollar you win comes from another trader, and the house takes a cut of each trade. A study of more than 300,000 Kalshi contracts found the average buyer loses money: people who hit market orders lost about 32% on average, and people who posted limit orders lost about 10%. So there is no bet type that reliably pays. Profit comes only from pricing an event more accurately than the market does, and most people cannot do that.

That shapes the whole plan:

- **Start with $500** you can afford to lose completely. Treat the first three months as a test of whether you have an edge, not as income.
- **Move to $2,500** only if your first 100 logged trades are profitable after fees. That is the smallest bankroll where the $1,000 milestone is reachable in under a year.
- **The larger milestones need more capital, not just more time.** $25,000 in profit from a $2,500 start takes about five years even if you are good. From $25,000 it takes about a year and a half.
- **Plan on 5 to 7 hours a week.** Less than that and you are guessing.
- **If the first 100 trades lose money, stop.** That result is the answer, and it is the most common one.

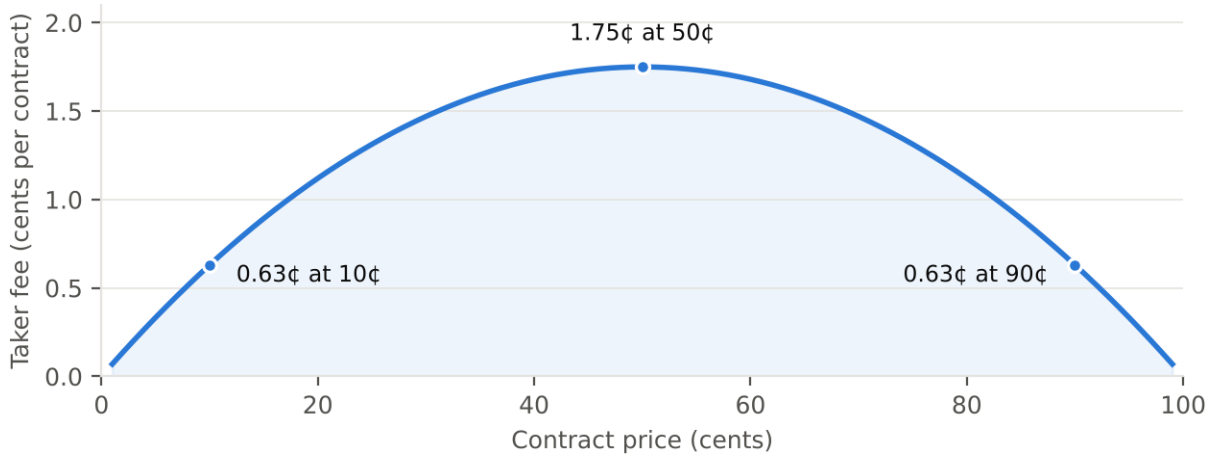
3. What you need to start

Item	What to do	Why
Test bankroll	$500, by bank transfer (ACH)	ACH is free. Debit cards cost 2%. The minimum deposit is $10, but $10 trades are too small to learn from.
Working bankroll	$2,500 after you pass the test in section 8	Keeps each trade at 1% to 3% of the account while still being worth the hours.
Time	5 to 7 hours a week	Roughly 30 researched trades a month plus logging results.
Trade log	A spreadsheet: market, price, your probability, size, result	The only way to know whether you have an edge.
One niche	Pick a category you can know better than a casual trader	Generalists are the ones funding the specialists.
Tax records	Export your full trade history each year	Kalshi's tax forms do not calculate your cost basis.

Accounts holding $250 or more earn interest on cash and open positions (3.25% a year per Kalshi's help page, variable). Withdrawals by ACH are free.

4. How the fees work against you

The fee on a market order is 7% of price times (1 minus price), per contract. It peaks at 1.75 cents on a 50-cent contract and shrinks toward the extremes. Limit orders that rest on the book pay nothing on most markets and about a quarter of that rate on some. Selling before settlement costs a second fee. Holding to settlement does not.



Taker fee per contract by price. Read it also as the edge you need just to break even: at 50 cents your estimate has to beat the market by 1.75 percentage points before you earn anything.

At 30 trades a month this is the difference between growing and shrinking. Use limit orders by default.

5. The strategy

Post limit orders. Decide the price you are willing to pay, rest the order, and let the market come to you. If it does not fill, you lose nothing.

Skip longshots. Contracts under about 15 cents win less often than their price implies, and that is where the biggest losses in the data sit. Contracts above about 60 cents have been closer to fairly priced or slightly underpriced. Remember the tradeoff: one loss at 90 cents wipes out nine wins.

Work one niche where the answer comes from public data. Good candidates:

- Economic releases: CPI, jobs numbers, Fed decisions. Nowcasts and futures prices give you a baseline to compare against.
- Weather: daily highs and rainfall, checked against National Weather Service forecasts.
- Tech and AI: product launches, model releases, company announcements. If you follow this field for work, you start ahead of the average trader here.

Only trade when your number differs from the market by 5 points or more. Write down your probability before you look at the price. Smaller gaps are usually noise or fees.

Read the rules of every market. Each one names its exact resolution source and cutoff time. Many losses come from being right about the event and wrong about the wording.

Trade close to resolution. Prices get more accurate as closing nears, and your money turns over faster. Avoid tying capital up for months at a small edge.

6. What to avoid

- Market orders, except to exit a position that has gone wrong.
- Parlays and combo contracts. Fees and bias stack on every leg.
- Live sports and 15-minute crypto markets. You are trading against automated firms with faster data.
- Perpetual futures. These are leveraged, and losses can exceed what you planned to risk.
- Buying right after news breaks. The price has already moved by the time you see it.
- Raising your size to win back a loss.

7. Bet sizing and risk rules

Rule	Limit
Risk per trade	1% to 3% of bankroll. On $2,500 that is $25 to $75.
Related positions	No more than 20% of bankroll on outcomes that would all lose together.
Monthly stop	Down 15% in a month: stop trading until the next month and review the log.
Hard stop	Down 40% from your deposits: stop. Do not add money to recover.
Adding money	Only after passing the test in section 8, never to cover losses.

8. Roadmap

Phase	When	Bankroll	What you do	Move on when
0. Setup	Weeks 1 to 2	$0	Open the account, pick a niche, build the log, paper trade 20 markets.	You can explain the resolution rules of every market you tracked.
1. Test	Months 1 to 3	$500	100 real trades at $5 to $15 each. Limit orders only. Log every one.	100 trades done and profitable after fees.
2. Build	Months 4 to 12	$2,500	Same method at 1% to 3% per trade, about 30 trades a month.	First milestone: $1,000 profit.
3. Scale	Year 2 on	$5,000 to $25,000	Add capital in steps, only while the log stays profitable over each 100-trade block.	$5,000, $10,000 and $25,000 milestones.

The Phase 1 gate matters more than anything else here. One hundred trades is a small sample and a profitable run can still be luck, so keep checking each new block of 100. A losing run is a clear signal. Take it.

9. Money and time for each milestone

The table shows months to reach each profit target if the account grows 4% a month with profits left in. That rate is what the simulation in section 10 produces for a trader who is right 3 points more often than the price implies. It is an assumption about skill, not a forecast, and most accounts never see it.

Starting bankroll	$1,000 profit	$5,000 profit	$10,000 profit	$25,000 profit
$500	28 months	61 months	78 months	100 months
$1,000	18 months	46 months	61 months	83 months
$2,500	**9 months**	28 months	41 months	61 months
$5,000	5 months	**18 months**	28 months	46 months
$10,000	2 months	10 months	**18 months**	32 months
$25,000	1 month	5 months	9 months	**18 months**

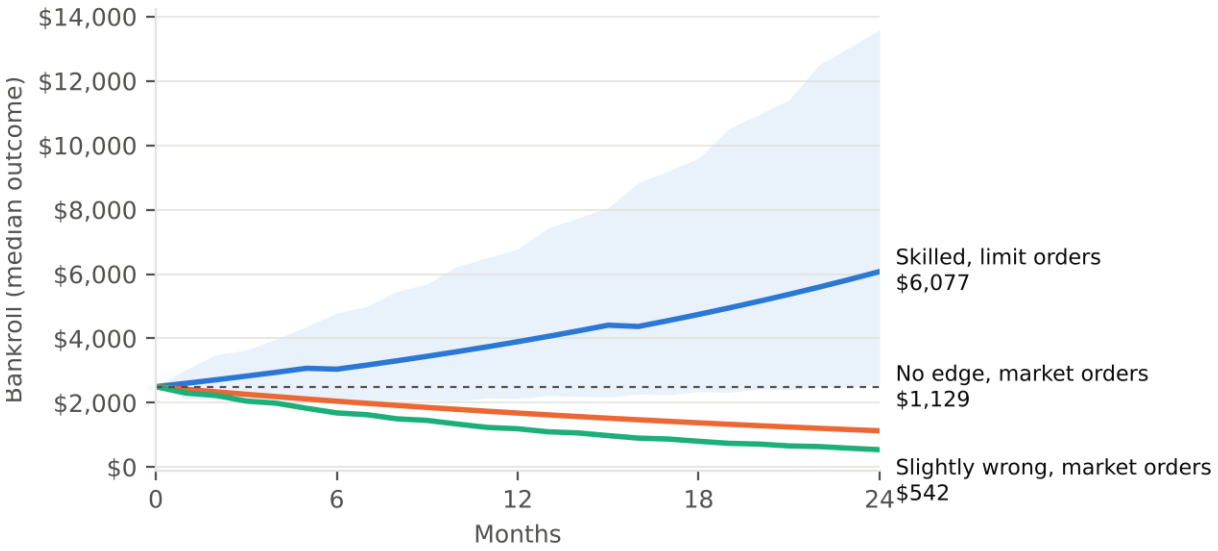
Bold cells are the pairings this guide recommends: enough capital that the target is 9 to 18 months away. Halve the growth rate to 2% a month and every figure roughly doubles. At 5 to 7 hours a week, 18 months is about 400 to 550 hours.

Profit target	Bankroll to plan for	Time if you have an edge	Hours of work
$1,000	$2,500	About 9 months	200 to 270
$5,000	$5,000	About 18 months	400 to 550
$10,000	$10,000	About 18 months	400 to 550
$25,000	$25,000	About 18 months	400 to 550

In practice these are one path, not four accounts: start at $2,500, hit $1,000, then add capital as the log keeps proving out. Larger size also gets harder to fill at good prices in thin markets, so returns tend to fall as the account grows.

10. What the odds look like

A simulation of 20,000 traders, each starting with $2,500, staking 3% per trade on 60-cent contracts, 30 trades a month for two years:



Lines show the median trader; the dashed line is the $2,500 start. The shaded band covers the middle 80% of skilled traders, from about $2,586 to $13,582 after two years.

Trader	Up $1,000 or more at 12 months	Below $2,500 at 12 months	Median after 24 months
Skilled (right 3 points more than price), limit orders	60%	18%	$6,077
No edge, market orders	6%	83%	$1,129
Slightly wrong (2 points worse), market orders	1%	96%	$542

Two things to take from this. Even a skilled trader has about a one in five chance of being down after a year, so short-term results say little. And a trader with no edge who pays taker fees loses more than half the account in two years. The research suggests most people are closer to the second and third rows than the first.

11. Taxes and legal status

- **Taxes are unsettled.** The IRS has not said how prediction market profits are taxed. Depending on the treatment, profit may be ordinary income, capital gains, or a 60/40 futures split. If it is treated as gambling, the 2026 rule caps loss deductions at 90% of winnings, so you can owe tax in a break-even year. Set aside 25% to 30% of profit and ask a tax preparer.
- **No complete 1099.** Kalshi's forms report proceeds without cost basis. You owe tax whether or not a form arrives.
- **Illinois.** A federal judge blocked the state on October 2, 2026 from enforcing its gambling license rules against Kalshi's sports contracts, so they remain available for now. The state can appeal and

the Supreme Court is expected to rule on sports contracts. Non-sports markets are not part of that dispute.

12. Sources

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Kalshi Help: APY on Kalshi

Oddpool: How prediction market fees work, Kalshi vs Polymarket

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CBS Sports: Prediction market payment methods and deposit fees

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Sportico: Kalshi parlay, combo and RFQ explainer

WSN: Illinois ruling on sports contracts

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